Dr Reddys Laboratories Ltd

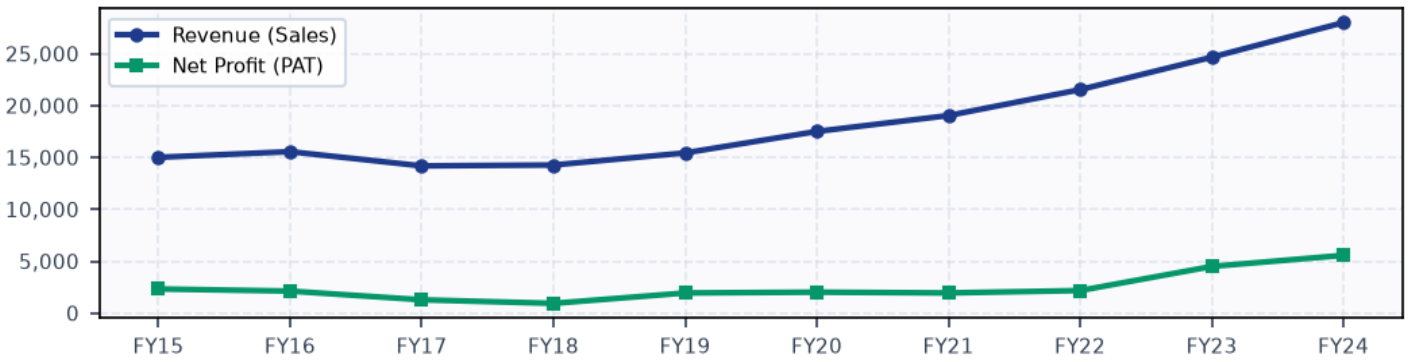
NSE: DRREDDY | **Sector:** Healthcare | **Peer Group:** Pharmaceuticals

N100 INSTITUTIONAL TEARSHEET
Fiscal Reference: FY2024
Currency: INR (■ Crore)

RETURN ON EQUITY (ROE)	RETURN ON CAPITAL (ROCE)	DEBT TO EQUITY (D/E)
19.7%	**21.4%**	**0.07x**
▲ Above Sector Med (15.6%)	▲ Above Sector Med (19.2%)	▼ Higher Leverage vs Med 0.05x

REVENUE CAGR (3YR)	COMPOSITE SCORE	OPERATING MARGIN (OPM)
13.7%	**59.6**	**28.3%**
▲ Above Sector Med (10.4%)	▲ Above Sector Med (55.7)	▲ Above Sector Med (28.2%)

10-Year Revenue & Net Profit (PAT) Trajectory (₹ Crore)



▲ INVESTMENT MERITS & STRENGTHS (PROS)

✔ Conservative capital structure with Debt-to-Equity of 0.07x.
✔ Consistent top-line expansion with 3-year revenue CAGR of 13.7%.
✔ Strong earnings compounding with 3-year PAT CAGR of 41.9%.

▼ RISK FACTORS & CONCERNS (CONS)

■ Sub-50 cash flow quality score (1/100) indicating working capital drag.

Peer Comparison, Valuation Multiples & Cash Flow Intelligence

Dr Reddys Laboratories Ltd (DRREDDY) | Peer Group: Pharmaceuticals

Company	ROE (%)	ROCE (%)	OPM (%)	D/E (x)	P/E (x)	3Y Rev (%)	Composite
CIPLA	15.6%	19.2%	24.4%	0.02x	59.8x	10.4%	54.5
DIVISLAB	11.8%	13.5%	28.2%	0.00x	70.0x	4.0%	44.9
★ DRREDDY	**19.7%**	**21.4%**	**28.3%**	**0.07x**	**11.7x**	**13.7%**	**59.6**
SUNPHARMA	15.1%	15.6%	26.8%	0.05x	37.9x	13.1%	66.0
TORNTPHARM	24.2%	23.5%	31.4%	0.59x	46.4x	10.3%	55.7

Valuation Multiple	Company	Sector Median	DCF Implied Value & Status
P/E Ratio	11.7x	47.1x	**Implied Value:** ■10,350 Cr (-99.6%)
P/B Ratio	10.2x	8.8x	★ STATUS: OVERVALUED (PREMIUM)
EV / EBITDA	14.6x	20.1x	Market Cap: ■2,441,803 Cr

Capital Allocation Pattern: Shareholder Returns | 5-Year Operating vs Investing vs Financing Cash Flows

